

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING
Complainants

VERSUS

DB SCHENKER USA, INC.
Respondent

**RESPONDENT’S RESPONSE TO COMPLAINANTS’ AMENDED PROPOSED
FINDINGS OF FACT**

Respondent, Schenker, Inc., incorrectly named as DB Schenker USA, Inc., (“Schenker”), by and through its undersigned counsel, and pursuant to the Initial Order served August 12, 2025, Paragraph 23(C), respectfully submits its responses to Complainants IWG International Wood Group of SC (“IWG”) and Honest Trading International LLC’s (“Honest”) Amended Proposed Findings of Facts (“CPFFs”) served April 24, 2026.¹ Complainants proposed findings of fact are reproduced herein verbatim, followed by Respondent’s responses thereto in **bold** typeface.

¹ For clarity, the Certificate of Service for the Proposed Findings of Fact incorrectly states that same was served on March 19, 2026.

1. IWG provided Respondent with complete shipping instructions and commercial documents for Shipment #2154787640 starting on February 24, 2025. (Appendix E CX-068)²

RESPONSE: Denied. Schenker was not provided with the Import/Export Code for the consignee as well as the Permanent Account Number of the Notify Party, both of which are necessary to meet Indian Customs requirements and were not provided until February 25, 2025. See CX-068 (IWG-APP-E-0027).

2. Respondent had no update from February 25, 2025 to March 18, 2025 regarding the draft documents for Shipment #2154787640. (Appendix E CX-067)

RESPONSE: Admitted only that Complainants did not receive a written update regarding the draft documents during the period specified.

3. Complainant formally approved the draft Bill of Lading for Shipment #2154787640 on March 20, 2025. (Appendix E CX-067)

RESPONSE: Admitted.

4. Respondent failed to provide any status updates or take further action on Shipment #2154787640 between March 20, 2025, and April 10, 2025, despite repeated follow-ups. (Appendix E CX-068)

RESPONSE: Denied. On April 4, 2025, Schenker responded to IWG advising that the matter has been escalated to review a status update, later that same day Schenker informed IWG that it was sending the Original Bill of Lading to the address provided. CX-68 (IWG-APP-E-0021-22). Further, on April 9, 2025, Schenker advised that it was working on the other documents requested. CX-68 (IWG-APP-E-0019).

² The Complainants' unique prefix (CX-[number]) repeats the same number for each page of a single document rather than providing a different number for each individual page of the appendix in violation of the Initial Order, therefore for sake of clarity Respondent also includes the page identifier (IWG-APP-[letter]-[number]). At no point in their briefing, however, do Complainants point to a single page of their appendices.

5. Respondent failed to include the Commercial Invoice, Packing List, and Phytosanitary Certificate in the bank courier for Shipment #2154787640. Respondent's staff stated they were "unaware" of the requirement to send commercial documents with the Bill of Lading to the bank. (Appendix E CX-068)

RESPONSE: Denied as to the characterization that Schenker "failed" in any way. Admitted to the extent that Schenker's April 4, 2025, package only contained the Original Bill of Lading, which IWG was aware of as it was expressly stated in the email from Schenker dated April 4, 2025. CX-068 (IWG-APP-E-0021). Otherwise denied, as after several days of back and forth communications, which included several additional changes requested by IWG to documents, Schenker ultimately mailed these documents – after approval by IWG – to the bank on April 17, 2025. CX-67 (IWG-APP-E-0008) - (IWG-APP-E-0012).

6. Respondent manifested the Bill of Lading for Shipment RICFE2007400 with a discrepancy. (Appendix D CX-052 & CX-054)

RESPONSE: Denied. IWG requested multiple, various changes and Schenker complied with each of those requests. In particular, on March 7, 2025, IWG provided a packing list for this shipment but then sent Schenker an updated packing list and commercial invoice 13 days later, on March 20, 2025. CX-052 (IWG-APP-D-0021). The next day, March 21, 2025, Schenker asked for the shipper's letter of instructions to provide the carrier with the final bill of lading instructions. *Id.* However, IWG did not respond until March 25, 2025, wherein it asked for a copy of the draft documents with the information provided thus far to confirm the details. CX-052 (IWG-APP-D-0020). In turn, Schenker provided a draft bill of lading and asked for the USCI number and phone number for the Consignee/Notify Party. CX-052 (IWG-APP-D-0018) - (IWG-APP-D-0019). Then, IWG requested that Consignee/Notify

Party be changed and Schenker provided an updated bill of lading. CX-052 (IWG-APP-D-0016) - (IWG-APP-D-0018). On April 11, 2025, in response to the updated draft IWG specifically stated “Just leave as is. Do [*sic*] we don’t slow the docs down,” and confirmed to Schenker “Ok to proceed”. CX-052 (IWG-APP-D-0015) - (IWG-APP-D-0016). Schenker then provided copies of the bill of lading, phytosanitary certificate, and certificate of origin. CX-052 (IWG-APP-D-0015). But then Big Brother USA LLC responded, requesting various changes to all three documents on April 14, 2025. CX-052 (IWG-APP-D-0013) - (IWG-APP-D-0014). The next day, Schenker sent the requested amendments for the bill of lading to the ocean carrier. CX-056 (IWG-APP-D-0060). On April 21, 2025, Schenker informed IWG that the carrier was unable to update the bill of lading as it was already manifested. CX-052 (IWG-APP-D-0031).

7. The carrier, ONE, informed Complainants in May 2025 that the telex release for Shipment RICFE2007400 was withheld due to Respondent’s unpaid administrative fees. (Appendix D CX-050 & CX-063)

RESPONSE: Denied as to the mischaracterization that the release of the shipment “was withheld due to Respondent’s unpaid administrative fees.” On May 1, 2025, Schenker asked IWG to confirm if ONE could issue a telex release for the shipment. CX-063 (IWG-APP-D-0128). Once approved, Schenker communicated with ONE to confirm the charge for the telex release. RX0159. Schenker followed up with ONE three times over the next day asking for an update regarding the issue and on May 2, 2025, the telex release was performed. RX0154-RX0156, RX0164.

8. Respondent misrouted Letter of Credit documents for Booking YHU25912806 directly to the buyer's bank on May 5, 2025, violating bank-to-bank routing terms. (Appendix A

CX-010)

RESPONSE: Denied. Schenker admits that the documents were sent to the buyer's bank, but denies the mischaracterization that the documents were "misrouted". Schenker specifically asked for the address where the original documents should be sent, stating that it would "create UPS label and send these to go out...". RX0131. IWG responded, specifically providing the HSBC Bank Beijing Branch address, which turned out to be the buyer's bank. RX0128. Following the instructions given, Schenker sent the documents to that address and provided IWG with the UPS tracking, which showed the intended destination. RX0127; *see also* RX0118-RX0122 (Marande Dep. 2-20-2026) at 57:13 – 58:16; 59:24 – 60:2; 62:5 – 62:9 (IWG admitting that the buyer's representative instructed Schenker to send the documents to the HSBC in Beijing).

9. Respondent failed to endorse the Original Bill of Lading for Booking YHU25912806 and YHU25912853 and lost the Original Bill of Lading for Booking YHU25912806, requiring a Letter of Indemnity (LOI) to be filed. (Appendix A CX-005)

RESPONSE: Denied. With respect to Booking YHU25912806 and YHU25912853, Schenker made clear to IWG that if endorsements were expected to be done by Schenker same needed to be specified by IWG "at [the] time as this is not what we normally do." RX0151. Schenker also confirmed that the documents had already been delivered before new instructions were given. RX0149-RX0150. Additionally, as to the mischaracterization that Respondent "lost the Original Bill of Lading for Booking YHU25912806"—which is denied—on May 14, 2025, Schenker sent IWG a copy of the document packet to be approved. CX-001 (IWG-APP-A-0002). On May 15, 2025, IWG confirmed that the document package was approved. CX-001 (IWG-APP-A-0001). After IWG reached out to Schenker on May 29, 2025, stating that the

bill of lading received was not the original, Schenker responded “I sent you a copy of the documents and this was approved to send. I don’t understand as the OBLs show original in the attachment?” CX-016 (IWG-APP-B-0004). IWG then responded, “Upon rechecking, this was one of the 2 bookings with unendorsed BLs. We will push with the LOIs for unendorsed BLs...”. CX-016 (IWG-APP-B-0003).

10. The Letter of Credit for BNBMG bookings expired triggered by Respondent failures or delays and caused termination of agreement. (Appendix G CX-073)

RESPONSE: Denied. First, this statement fails to identify the agreement that was terminated and cites only to the termination document. Further, IWG (and its customer) requested that various changes be made to the documents which led to delays in the finalization and delivery of the documents. *See generally* RX0127-RX0132 (IWG’s customer confirmed that the documents were correct and provided the wrong address when asked where the documents needed to be sent (see above Response to CPFF No. 8); CX-001 (IWG-APP-A-0001) - (IWG-APP-A-0005) (requesting changes to a document that had been previously approved); RX0149-RX0151 (providing new instructions regarding endorsements after the documents had been sent out); CX-029 (IWG-APP-C-0009) - (IWG-APP-C-0011) (requesting revisions); CX-030 (IWG-APP-C-0014) - (IWG-APP-C-0016) (requesting a change after bill of lading was drafted and the customer specifically said “BNBMG is very sorry for any inconvenience caused to you!”). With respect to the cited termination agreement, Schenker is not a party to that agreement nor was it a party to the January 20, 2025, agreement referenced therein. However, IWG has admitted that the sales agreement was mutually terminated by the parties, rather than a unilateral termination by the buyer. RX0050-RX0051 (Swilley Dep.) at 90:19 – 91:13.

11. Respondent would like the Complainant to sign Indemnification Hold Harmless.
(Appendix A CX-007)

RESPONSE: Schenker objects to this “State of Fact” on the grounds that it has no context, scope or time frame and is, generally, nonsensical. Notwithstanding the foregoing, Schenker admits that it provided IWG with the identified document, but only after IWG asked Schenker to submit its own Letter of Indemnity (“LOI”) for the shipment. Schenker informed IWG that it could not submit an LOI because Schenker was not at fault and that in order to do so the attached had to be signed. CX-005 (IWG-APP-A-0019), (IWG-APP-A-0022) - (IWG-APP-A-0023). It is noted that before this option was provided, on June 12, 2025, IWG reached out to Schenker regarding this same issue and Schenker advised that it believed that this was previously handled on June 3, 2025, after IWG submitted LOIs for the shipment on May 30, 2025. CX-015 (IWG-APP-A-0078); CX-016 (IWG-APP-B-0001).

12. Shipments incurred detention and demurrage charges and one of the shipments, YHU25912806, was abandoned. (Appendix A CX-006) (Appendix B CX-023)

RESPONSE: Admitted that the document found at CX-006 contains demurrage charges; otherwise denied. Specifically, Respondent denies that any of these charges or abandonment of cargo were caused by or a result of any wrong-doing or misconduct by Schenker. CX-023 (IWG-APP-B-0065) - (IWG-APP-B-0067). The document itself is not evidence as it does not show that Complainants paid said charges. In fact, Complainants admitted that Schenker did not assess these charges (*see* RX0037 (Swilley Dep.) at 57:17 – 57:22) and further, Complainants did not pay for any detention or demurrage charges. *See* RX0040-RX0041 (Swilley Dep.) at 60:16 – 60:22; 61:3 – 61:10.

Dated: May 22, 2026

Respectfully submitted,

SPECTOR RUBIN, P.A.

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Counsel for Respondent, Schenker, Inc.

CERTIFICATE OF SERVICE

I **HEREBY CERTIFY** that a true and correct copy of the foregoing was served on May 22, 2026, via electronic mail, which shall notify all parties of record on this matter.

By: /s/ Robert Borak
Robert M. Borak, Esq.